Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 76: Exports are 30%, one customer is 28%, and EV story is still at the starting line



Representational image.

Synopsis

Seventy-six weeks,76 auto ancillary companies. This week, we turn to another legacy supplier that has spent decades building precision-manufacturing capability, a wide customer base, and a presence across tractors, commercial vehicles, construction equipment, and industrial applications. The business has three manufacturing plants and exports to multiple countries. Part 76 looks at how this old supplier has evolved, where its revenue concentration lies, how its financial profile has changed, and what investors should watch beyond the headline numbers.

The financial recovery here is unusually clean. It did not lean on fresh borrowing or new share sales; debt actually fell, cash generated from the business still covers the reported profit, and the return the company earns on its capital has climbed sharply. By the usual tests, this is a business getting genuinely stronger, not just having a lucky year. And yet the share price has refused to follow.

In FY26, this 54-year-old auto ancillary supplier did

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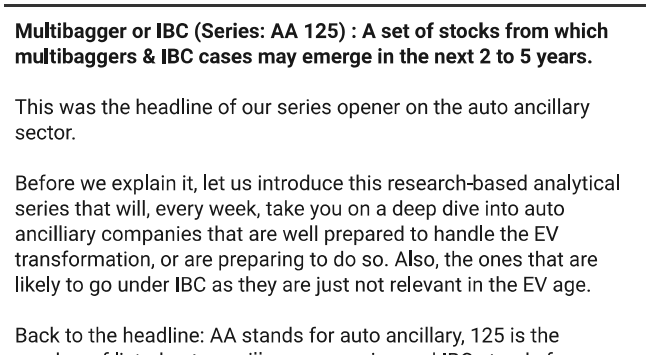
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something it had never done before. It achieved a Rs. 790 crore turnover, its highest ever. Revenue grew 21%. Profit rose more than five times. Return on equity went from 3% to 14%. By most operating measures, a long turnaround had finally worked.

Then, over a few weeks after the closing of the FY26 accounts, the company filed some disclosures with the exchanges and the uncertainty entered the investment case related to corporate governance.

The company we will be taking a deep dive into is **Bharat Gears Limited** (BHARATGEAR).

But first... about our headline



Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.*

For previous stories in this AA Series, kindly click on the respective links -Intro, 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, 40, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66, 67, 68, 69, 70, 71, 72, 73, 74, 75

A Cleaner Turnaround

There are two very different ways for a struggling company's profit to improve. One is through an exceptional gain. The other is by fixing the operating business. For **Bharat Gears** Limited, FY26 looks much closer to the second.

Revenue from operations rose to Rs. 784.17 crore in FY26 from Rs. 647.53 crore a year earlier, an increase

of about 21%. EBITDA, which is earnings before interest, tax, depreciation and amortisation, rose to Rs. 58.59 crore from Rs. 27.81 crore. Management reported an EBITDA margin of 7.47%. Profit after tax increased to Rs. 16.50 crore from Rs. 3.19 crore.

At first sight, the 417% jump in profit looks spectacular. But the real improvement is better understood by looking at what happened one year earlier.

In FY25, Bharat Gears had reported a loss of Rs. 12.90 crore before exceptional items and tax. It then booked a Rs. 16.84 crore exceptional gain from the sale of part of the land at its Mumbra plant. The land was sold for Rs. 17.10 crore. That gain helped the company end FY25 with a profit before tax of Rs. 3.93 crore.

FY26 had no such exceptional item. Profit before tax stood at Rs. 22.02 crore. This is important to note because the FY25 bottom line depended heavily on an asset sale. The FY26 bottom line came from a recovery in the operating business.

Finance costs also fell to Rs. 14 crore from Rs. 17.08 crore, while the company's disclosed interest-coverage ratio improved to 4.18 times from 1.63 times. Return on net worth increased to 14% from 3%, while the disclosed return on capital employed rose to 19% from 12%.

Key Financial Ratios

(₹ In Lakhs)

Particulars	FY 2025-26	FY 2024-25	Variance (%)
Debtors Turnover Ratio	7.45	6.08	22.53%
Inventory Turnover Ratio	8.07	7.39	9.20%
Interest Coverage Ratio	4.18	1.63	156.44%
Current Ratio	1.23	1.22	0.82%
Debt Equity Ratio	0.44	0.54	-18.52%
Operating Margin	4.56%	0.64%	612.50%
Net Profit Margin	3.00%	1.00%	200.00%
Return on Net Worth	14.00%	3.00%	366.67%

Source: Annual Report FY26

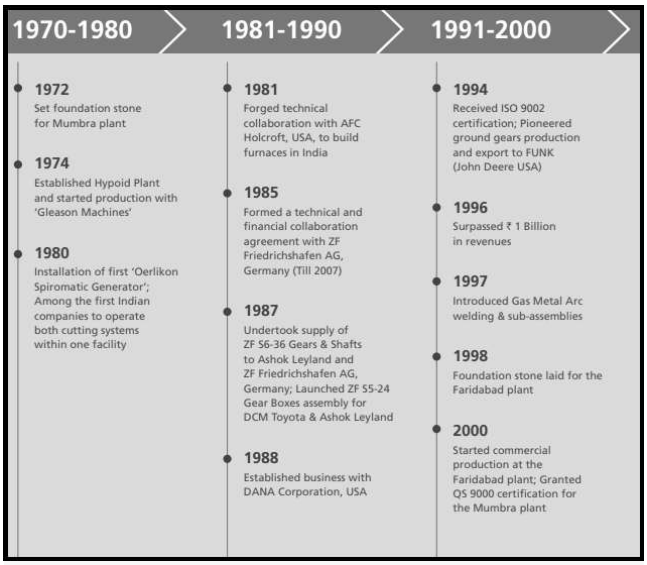
The question now is whether this is just a strong year for an old cyclical business or the beginning of a more durable change. To answer that, investors first need to understand what Bharat Gears actually is.

About Bharat Gears

Bharat Gears was incorporated in December 1971 and has spent more than five decades building its position in gears and related automotive components.

Its manufacturing journey started with the Mumbra plant in Maharashtra, where the foundation stone was laid in 1972. The early years were about building technology capability rather than simply adding capacity.

Bharat Gears established a hypoid gear plant using Gleason machines in 1974 and installed its first Oerlikon Spiromatic generator in 1980. The company says it was among the first Indian manufacturers capable of operating both cutting systems within one facility.



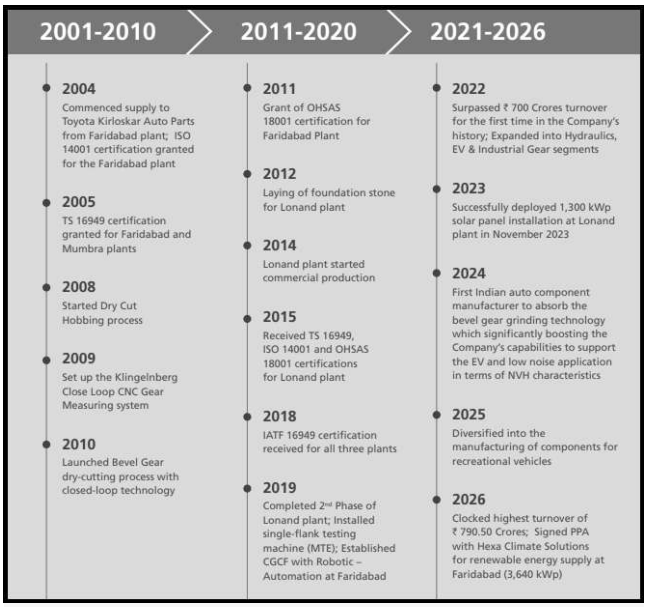
Source: Annual Report FY26

International technical collaborations followed. In 1981, Bharat Gears entered into a technical collaboration with AFC-Holcroft of the US to manufacture furnaces in India. In 1985, it entered into a technical and financial collaboration with ZF Friedrichshafen of Germany, which continued until 2007.

By 1987, the company was supplying gears and shafts to Ashok Leyland and ZF Friedrichshafen and

had launched a gearbox assembly for DCM Toyota and Ashok Leyland. A year later, in 1988, it established business with Dana Corporation of the US.

The 1990s marked the next stage of development. Bharat Gears received ISO 9002 certification in 1994 and began ground-gear production and exports to FUNK (John Deere, USA). Revenue crossed Rs. 100 crore in 1996. The foundation stone for its Faridabad plant was laid in 1998, and commercial production started there in 2000.



Source: Annual Report FY26

The Faridabad plant, spread across around 10 acres, now manufactures spiral and hypoid bevel gears and transmission gears. Bharat Gears also expanded its customer base from this plant, beginning supplies to Toyota Kirloskar Auto Parts in 2004.

The company kept adding manufacturing technologies. It introduced dry-cut hobbing in 2008, installed a Klingelnberg closed-loop CNC gear-measuring system in 2009, and launched bevel-gear dry cutting with closed-loop technology in 2010.

Its third manufacturing base came at Lonand in Maharashtra. The foundation stone was laid in 2012, and commercial production began in 2014. The

plant covers around 20 acres and primarily manufactures transmission gears.

The three plants give Bharat Gears a presence across two important automotive manufacturing states, Maharashtra and Haryana. The company also maintains sales offices in Delhi, Mumbai and Kolkata, and its domestic dealer network spans multiple states.

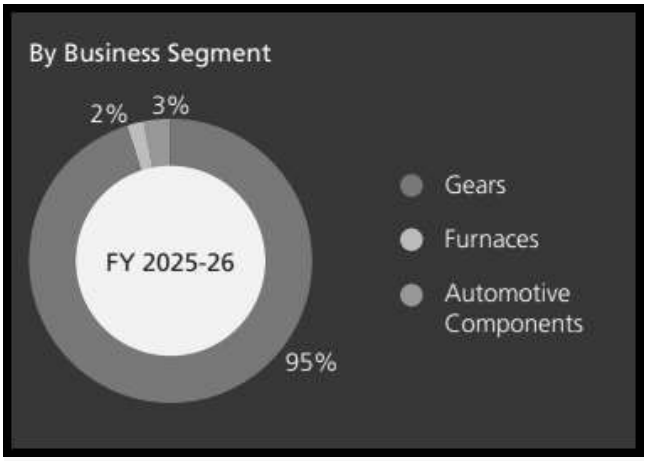
Over the years, the company has also moved beyond conventional automotive applications. In 2022, when annual turnover crossed Rs. 700 crore for the first time, it said it had expanded into hydraulics, **EVs**, and the industrial gears segment. In 2025, it added components for recreational vehicles.

The technology focus has continued as well. In 2024, Bharat Gears said it became the first Indian auto-component manufacturer to absorb bevel-gear grinding technology, boosting the company's capability to support EV and low-noise applications.

Then came the FY26 milestone, with the company reporting its highest-ever turnover of around Rs. 790.50 crore.

So, Bharat Gears today is not simply the same gear maker that started production in the 1970s. It has gradually added plants, technologies, international customers, and adjacent products. Today it operates across three business segments: Gears, automotive components, and furnaces.

The mix, however, is heavily tilted towards one of them. In FY26, the gears business contributed 95% of revenue, while automotive components contributed 3%, and furnaces the remaining 2%.

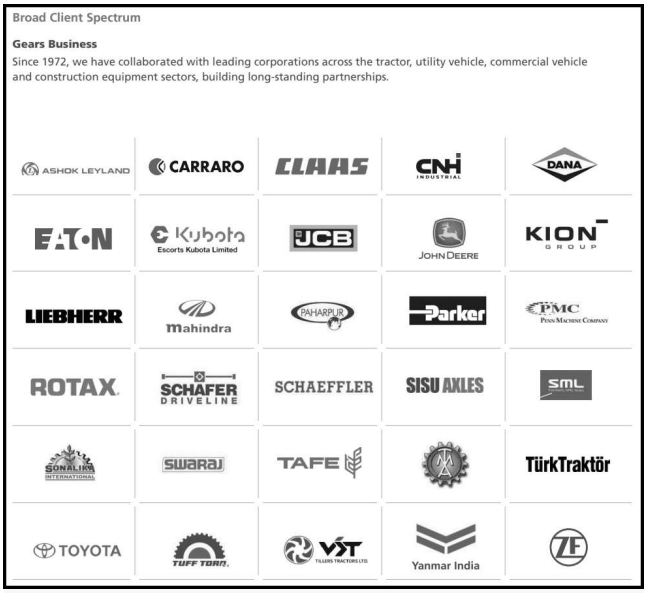


Source: Annual Report FY26

Gears: Core Business

Gears are clearly the heart of Bharat Gears. The company has been in this business since 1972 and supplies customers across tractors, utility vehicles, commercial vehicles and construction equipment.

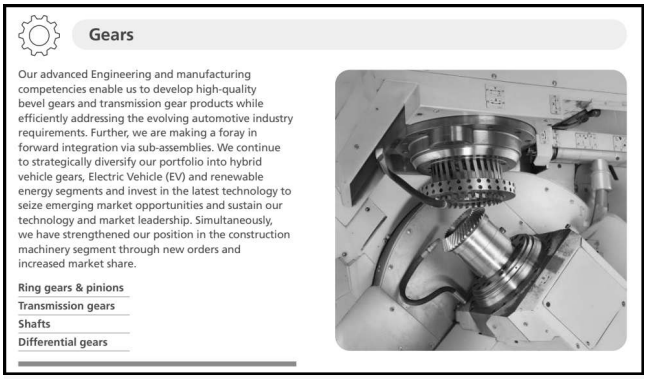
Its disclosed customer base includes Ashok Leyland, Carraro, Claas, CNH Industrial, Dana, Eaton, Escorts Kubota, JCB, John Deere, Mahindra, Schaeffler, TAFE, Toyota and ZF, among others.



Source: Annual Report FY26

But what exactly does Bharat Gears make here? Its

main products include ring gears and pinions, transmission gears, shafts, and differential gears.



Source: Annual Report FY26

Ring gears and **pinions** usually work together inside the differential. Their job is to transfer power towards the wheels and change the direction in which that power is travelling. Think of them as two interlocking gears. A smaller pinion turns the larger ring gear, helping send the vehicle's power towards the axle.

Transmission gears sit inside the transmission. They help the vehicle change the balance between speed and pulling power. The easiest comparison is a bicycle. A lower gear makes it easier to start or climb, while a higher gear is useful once speed builds up. A vehicle's transmission gears perform a similar basic function.

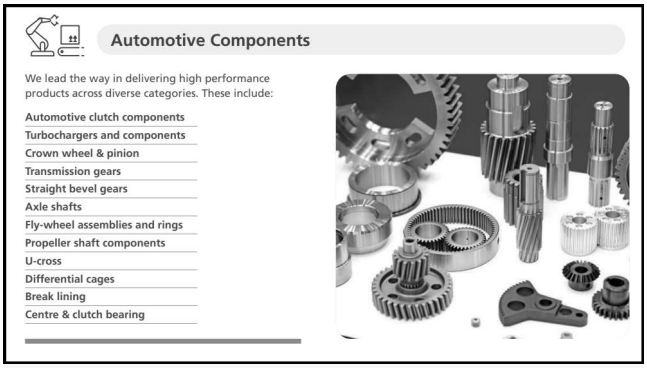
Shafts are rotating metal parts that carry power from one component to another. If the gears decide how power will move, the shaft is what physically carries that rotating force.

Differential gears allow the two driven wheels to rotate at different speeds while turning. This matters because the outside wheel has to travel a longer distance than the inside wheel when a vehicle takes a corner.

Bharat Gears also says it is moving towards forward integration through sub-assemblies and is looking to expand its gear portfolio into hybrid vehicles, EVs, and renewable-energy applications.

Automotive Components

The second segment is automotive components, which contributed about 3% of FY26 revenue. The segment is small, but its product range is much wider.



Source: Annual Report FY26

It includes **clutch components**, **turbocharger components**, **axle shafts**, **flywheel assemblies**, **propeller-shaft components**, **differential cages**, **brake linings**, and **bearings**, among others.

So while Bharat Gears is still overwhelmingly a gears company by revenue, it has built a broader set of products around automotive component systems.

Furnaces: The Small Engineering Business

The third segment is furnaces, which contributed about 2% of FY26 revenue.



Source: Annual Report FY26

Bharat Gears has collaborated with AFC-Holcroft of Michigan, USA, for manufacturing high-end batch and continuous heat-treatment furnaces.

Heat-treatment furnaces are industrial ovens used to heat and cool metal components under controlled conditions so they become harder, stronger and more resistant to wear. **Batch furnaces** treat one set of components at a time, while **continuous furnaces** process parts continuously as they move through different heating and cooling stages.

The company says these furnaces are not meant only for captive use. The partnership has also allowed it to offer furnace systems to outside customers, particularly in the automotive market.

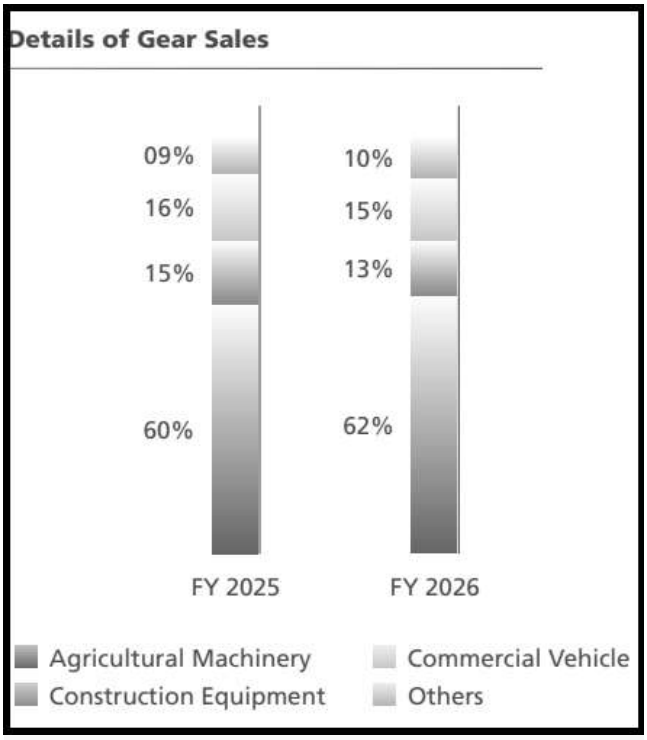


Source: Annual Report FY26

Bharat Gears lists customers such as **Automotive Axles**, Avdhoot Industries, K Drive Mobility Solutions, Mahindra, NBC, Timken, Varroc, and Bajaj-Mukand.

Concentration Problem

The next layer of concentration appears inside the gear business itself. Agricultural machinery contributed 62% of gear sales in FY26, up from 60% in FY25. Commercial vehicles contributed 15%, construction equipment 13%, and other applications contributed 10%.



Source: Annual Report FY26

The customer list is broad on paper. But a long customer list does not automatically mean low customer concentration.

The financial statements disclose that one unnamed Customer A generated Rs. 212.73 crore of revenue from contracts with customers in FY26, against Rs. 175.41 crore in FY25.

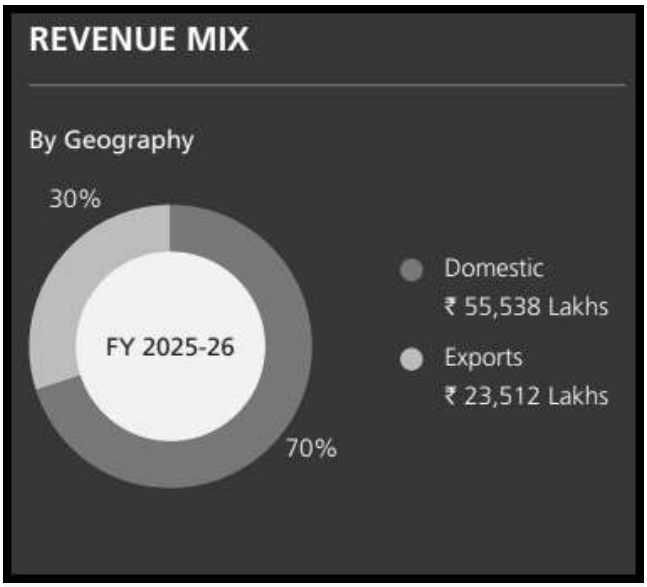
Total revenue from contracts with customers was Rs. 768.52 crore. So Customer A alone accounted for roughly 27.7% of that revenue. No other individual customer contributed 10% or more.

That is an important number. A customer contributing more than a quarter of contract revenue can provide scale, continuity, and long-running programmes. But it also means pricing decisions, programme changes, or sourcing decisions at one customer can have an outsized impact.

Management is aware of the issue. In its FY26 commentary, Bharat Gears said it was onboarding new customers, exploring new domestic and international markets, deepening relationships with

Tier-1 suppliers and progressively engaging directly with OEMs. It explicitly linked this effort to reducing dependence on top customers.

Exports offer another layer of diversification. The revenue-mix presentation puts domestic revenue at roughly Rs. 555.38 crore and export revenue at Rs. 235.12 crore. Around 30% of FY26 revenue came from exports, while 70% was domestic.



Source: Annual Report FY26

The financial statements show contract revenue from the US of about Rs. 81.83 crore, Mexico Rs. 41.54 crore, and Spain Rs. 44.16 crore, besides other overseas markets.

The EV Question

For an old drivetrain supplier, the obvious question is what electrification does to the product portfolio. Bharat Gears has started responding. During FY26, the company said it ventured into EV products and entered discussions with selected two- and three-wheeler EV players for long-term collaboration.

Management also talks about expanding into electric and hybrid segments, along with hybrid vehicle gears and other emerging applications.

Let us now consider the application of gears in an

electric era. The EV shift does not eliminate the need for gears, but it changes where and how those gears are used.

EVs still need reduction gearing to bring down the electric motor's high rotational speed and transfer torque to the wheels. However, many battery EVs use a single-speed reduction gearbox rather than the multi-speed transmissions common in ICE vehicles.

Differential gearing can also remain relevant in EVs where a single motor drives two wheels through an axle, allowing the wheels to rotate at different speeds while turning. Ring gears, pinions and bevel gears can continue to find applications in some final-drive and differential systems, although the type of gearing used depends on the drivetrain architecture.

The broader shift is towards compact, efficient, and precise-reduction gearing, often integrated with the motor and other components in an e-drive or e-axle system.

This means Bharat Gears' existing capabilities in bevel gears, differential gears, transmission gears, shafts and gear design can remain useful as the industry shifts towards EVs. However, the specific products and designs may need to change to meet EV requirements for higher motor speeds, lower noise, efficiency, and compact packaging.

That gives the core gear business an important advantage over suppliers whose products disappear entirely when an internal-combustion engine is removed.

But the supplied disclosures do not quantify how much of Bharat Gears' FY26 revenue already came from EVs. And that is critical. There is a big difference between having an EV-capable product, talking to EV customers, and building a meaningful EV revenue stream.

At present, the disclosures support the first two. They have not yet established the third. So, EV should be treated as an optionality, not as the current earnings thesis.

The nearer-term change is happening inside the existing business. During FY26, Bharat Gears launched a sub-assembly for a higher-end tractor differential application, four ground bevel gears and honing technology for gears and shafts.

Management says it wants to move further towards sub-assemblies and value-added offerings rather than remaining only a component supplier. This is strategically important.

A supplier selling an individual component competes largely on manufacturing capability, quality and cost. Moving into sub-assemblies can increase the amount of work done for a customer and potentially deepen the relationship.

The company has also continued investing in manufacturing technology. Its FY26 technology-absorption disclosure mentions commercial production on two Klingelnberg G27 bevel-gear grinding machines, advanced traceability in one gear line and a new ZEISS CMM measuring machine for micron-level inspection, among other process changes.

There is an interesting nuance here. Bharat Gears talks extensively about technology, new products and advanced manufacturing, but its statutory disclosure on research and development says the nature of its present activities "does not entail any Research and Development as such".

This does not mean the company is technologically stagnant. The same disclosure clearly shows spending and effort on technology absorption and manufacturing improvement.

But for investors, it is useful to distinguish process technology and product adaptation from a large formal R&D programme. For now, the company's EV transition is best read the same way: Work has started, but investors still need evidence of scale.

The Governance Issue

Until this point, the Bharat Gears story is mostly an operating turnaround mixed with customer and product concentration. Developments after FY26

add another dimension.

Promoter holding in Bharat Gears stood at 55.33% as of March 2026 and has remained broadly stable over the past several years. Chairman and Managing Director (CMD) Surinder Paul Kanwar directly held about 37% of the company.

Class of Shares/Name of Shareholder	As at 31 March, 2026		As at 31 March, 2025	
	Number of shares	Percentage of shares held	Number of shares	Percentage of shares held
Equity shares				
Surinder Paul Kanwar	5680989	37.00	5680989	37.00
Ultra Consultants Private Limited	2163193	14.09	2163193	14.09

(v) Details of shares held by Promoters:

Shares held by promoters as at 31 March, 2025:

Promoter name	Number of shares held at the beginning of the year	Change during the year	Number of shares held at the end of the year	Percentage of shares held	% Change during the year
Surinder Paul Kanwar	5680989	-	5680989	37.00	-
Late Dr. Raunaq Singh (*)	907	-	907	-	-
Ultra Consultants Private Limited	2163193	-	2163193	14.09	-
Raunaq International Limited	259206	-	259206	1.69	-
Vibrant Reality Infra Private Limited	221800	-	221800	1.44	-
Clip-Lok Simpak (India) Private Limited	168315	-	168315	1.10	-
Total	**8494410**	**-**	**8494410**	**55.32**	**-**

Shares held by promoters as at 31 March, 2026:

Promoter name	Number of shares held at the beginning of the year	Change during the year	Number of shares held at the end of the year	Percentage of shares held	% Change during the year
Surinder Paul Kanwar	5680989	-	5680989	37.00	-
Sachit Kanwar	-	1000	1000	0.01	0.01
Late Dr. Raunaq Singh (*)	907	-	907	-	-
Ultra Consultants Private Limited	2163193	-	2163193	14.09	-
Raunaq International Limited	259206	-	259206	1.69	-
Vibrant Reality Infra Private Limited	221800	-	221800	1.44	-
Clip-Lok Simpak (India) Private Limited	168315	-	168315	1.10	-
Total	**8494410**	**-**	**8495410**	**55.33**	**0.01**

(*) Considered as "Promoter", pursuant to the communication received from the National Stock Exchange of India Limited, subsequent to the financial year ended 31 March, 2025.

Source: Annual Report FY26

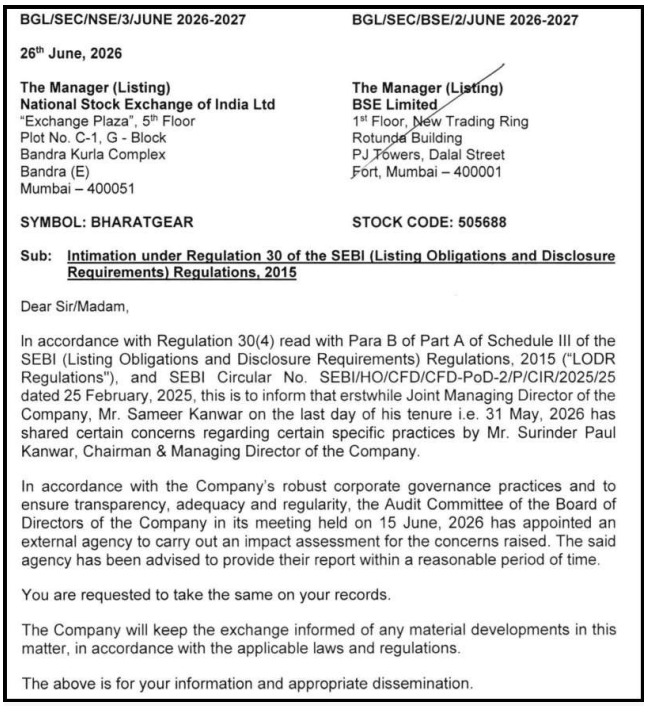
However, there is a dispute within the promoter family around the beneficial ownership of certain shares standing in the name of the CMD. Former Joint Managing Director (JMD) Sameer Kanwar, who is his son, has claimed beneficial ownership over certain shares held in the CMD's name.

This is different from the company's disclosed shareholding pattern, where the shares continue to be shown in Surinder Paul Kanwar's name. The matter should therefore be read as a claim or dispute over beneficial ownership, rather than as a change in the reported promoter shareholding.

In an April 10, 2026, clarification, Bharat Gears said Sameer Kanwar had filed a BEN-1 declaration on April 2, 2026, claiming beneficial interest in certain shares. The company said he continued to have nil disclosed shareholding as of March 31, 2026, while Surinder Paul Kanwar had confirmed that no beneficial interest had been created in his favour. Bharat Gears also referred to a March 12, 2024, Delhi

High Court order and said it could not consider the BEN-1 while the matter remained sub judice.

There have been other developments between the two as well. Sameer Kanwar's tenure as JMD ended on May 31, 2026, after the board decided not to extend it. On the last day of his tenure, he raised concerns regarding what the company described as "certain specific practices" by Surinder Paul Kanwar. The disclosures available do not spell out what those specific practices were.



BGL/SEC/NSE/3/JUNE 2026-2027 BGL/SEC/BSE/2/JUNE 2026-2027

26th June, 2026

The Manager (Listing)
National Stock Exchange of India Ltd
"Exchange Plaza", 5th Floor
Plot No. C-1, G - Block
Bandra Kurla Complex
Bandra (E)
Mumbai – 400051

The Manager (Listing)
BSE Limited
1st Floor, New Trading Ring
Rotunda Building
PJ Towers, Dalal Street
Fort, Mumbai – 400001

SYMBOL: BHARATGEAR STOCK CODE: 505688

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

In accordance with Regulation 30(4) read with Para B of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations"), and SEBI Circular No. SEBI/HO/CFD/CFD-PoD-2/P/CIR/2025/25 dated 25 February, 2025, this is to inform that erstwhile Joint Managing Director of the Company, Mr. Sameer Kanwar on the last day of his tenure i.e. 31 May, 2026 has shared certain concerns regarding certain specific practices by Mr. Surinder Paul Kanwar, Chairman & Managing Director of the Company.

In accordance with the Company's robust corporate governance practices and to ensure transparency, adequacy and regularity, the Audit Committee of the Board of Directors of the Company in its meeting held on 15 June, 2026 has appointed an external agency to carry out an impact assessment for the concerns raised. The said agency has been advised to provide their report within a reasonable period of time.

You are requested to take the same on your records.

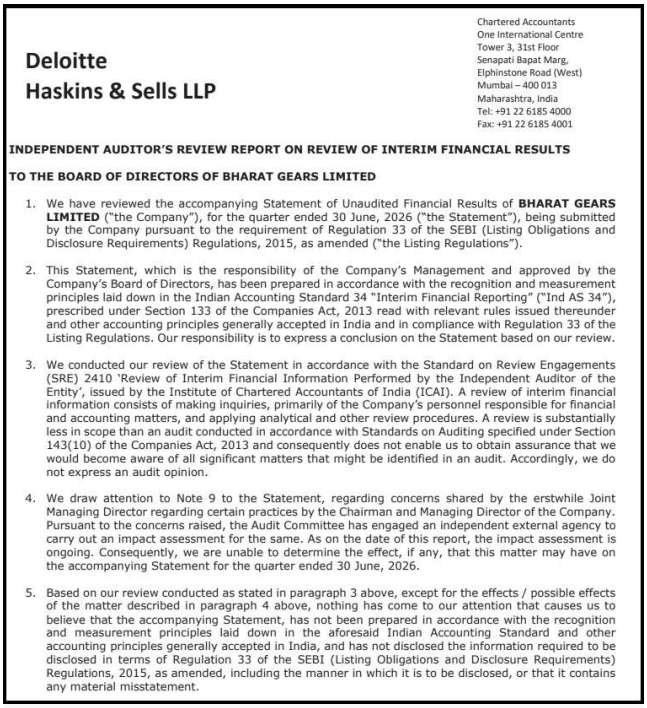
The Company will keep the exchange informed of any material developments in this matter, in accordance with the applicable laws and regulations.

The above is for your information and appropriate dissemination.

Source: Exchange communication dated 26th June, 2026

The Audit Committee subsequently appointed an external agency on June 15, 2026, to conduct an impact assessment of the concerns. The matter also appeared in Deloitte Haskins & Sells LLP's review report for the quarter ended June 30, 2026.

The auditor said the assessment was still in progress and it was therefore unable to determine the financial effect, if any, of the matter on the interim financial results. As per the latest public disclosures available, the assessment had not reached a final conclusion.



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Haskins & Sells LLP

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INDEPENDENT AUDITOR'S REVIEW REPORT ON REVIEW OF INTERIM FINANCIAL RESULTS

TO THE BOARD OF DIRECTORS OF BHARAT GEARS LIMITED

1. We have reviewed the accompanying Statement of Unaudited Financial Results of **BHARAT GEARS LIMITED** ("the Company"), for the quarter ended 30 June, 2026 ("the Statement"), being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("the Listing Regulations").

2. This Statement, which is the responsibility of the Company's Management and approved by the Company's Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in the Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013 read with relevant rules issued thereunder and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. Our responsibility is to express a conclusion on the Statement based on our review.

3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 'Review of Interim Financial Information Performed by the Independent Auditor of the Entity', issued by the Institute of Chartered Accountants of India (ICAI). A review of interim financial information consists of making inquiries, primarily of the Company's personnel responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Standards on Auditing specified under Section 143(10) of the Companies Act, 2013 and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

4. We draw attention to Note 9 to the Statement, regarding concerns shared by the erstwhile Joint Managing Director regarding certain practices by the Chairman and Managing Director of the Company. Pursuant to the concerns raised, the Audit Committee has engaged an independent external agency to carry out an impact assessment for the same. As on the date of this report, the impact assessment is ongoing. Consequently, we are unable to determine the effect, if any, that this matter may have on the accompanying Statement for the quarter ended 30 June, 2026.

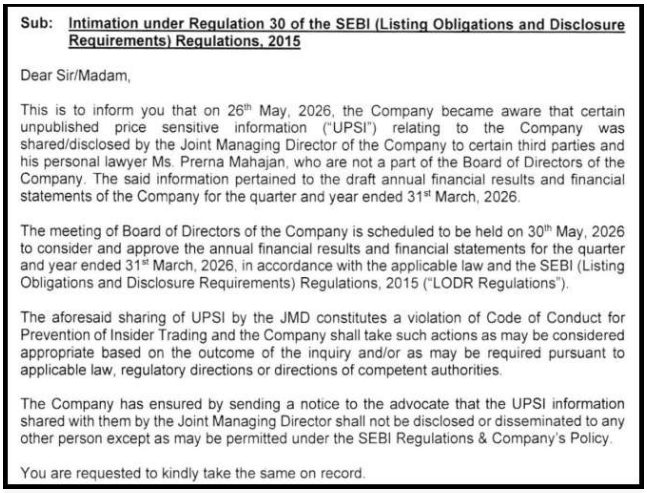
5. Based on our review conducted as stated in paragraph 3 above, except for the effects / possible effects of the matter described in paragraph 4 above, nothing has come to our attention that causes us to believe that the accompanying Statement, has not been prepared in accordance with the recognition and measurement principles laid down in the aforesaid Indian Accounting Standard and other accounting principles generally accepted in India, and has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, including the manner in which it is to be disclosed, or that it contains any material misstatement.

Source: Quarterly Results Q1FY27

There was also an allegation concerning Sameer Kanwar himself. The company said it became aware on May 26, 2026, that he had shared unpublished price sensitive information (UPSI) relating to the draft FY26 annual financial results and financial statements with certain third parties, including his personal lawyer, who were not members of the board.

UPSI refers to confidential information that could materially influence the share price once it becomes public.

The company said the sharing of this information was contrary to its code for prevention of insider trading, and further action would depend on the inquiry and applicable regulations.



Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

This is to inform you that on 26th May, 2026, the Company became aware that certain unpublished price sensitive information ("UPSI") relating to the Company was shared/disclosed by the Joint Managing Director of the Company to certain third parties and his personal lawyer Ms. Prerna Mahajan, who are not a part of the Board of Directors of the Company. The said information pertained to the draft annual financial results and financial statements of the Company for the quarter and year ended 31st March, 2026.

The meeting of Board of Directors of the Company is scheduled to be held on 30th May, 2026 to consider and approve the annual financial results and financial statements for the quarter and year ended 31st March, 2026, in accordance with the applicable law and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations").

The aforesaid sharing of UPSI by the JMD constitutes a violation of Code of Conduct for Prevention of Insider Trading and the Company shall take such actions as may be considered appropriate based on the outcome of the inquiry and/or as may be required pursuant to applicable law, regulatory directions or directions of competent authorities.

The Company has ensured by sending a notice to the advocate that the UPSI information shared with them by the Joint Managing Director shall not be disclosed or disseminated to any other person except as may be permitted under the SEBI Regulations & Company's Policy.

You are requested to kindly take the same on record.

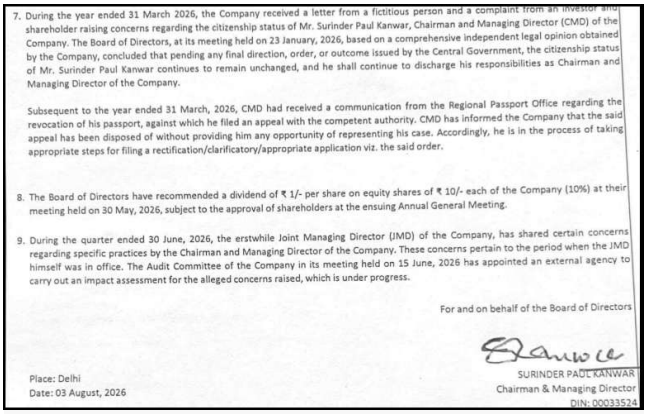
Source: Exchange communication dated 29th May, 2026

Separately, Bharat Gears has also been dealing with a matter concerning Surinder Paul Kanwar's citizenship and passport status. The company had earlier received a letter from a person it described as fictitious and a complaint from an investor and shareholder questioning the CMD's citizenship status.

The board obtained an independent legal opinion and, in January 2026, concluded that the power to determine citizenship rested with the Union government. Until any direction or order was issued, it said his citizenship status would remain unchanged and he would continue to discharge his responsibilities as CMD.

Subsequently, the Regional Passport Office communicated the revocation of his passport and he filed an appeal.

According to the company's August 3, 2026, disclosure, the appeal was disposed of without giving the CMD an opportunity to represent his case. The company said he was taking further steps for rectification, clarification, or other appropriate relief.



7. During the year ended 31 March 2026, the Company received a letter from a fictitious person and a complaint from an investor and shareholder raising concerns regarding the citizenship status of Mr. Surinder Paul Kanwar, Chairman and Managing Director (CMD) of the Company. The Board of Directors, at its meeting held on 23 January, 2026, based on a comprehensive independent legal opinion obtained by the Company, concluded that pending any final direction, order, or outcome issued by the Central Government, the citizenship status of Mr. Surinder Paul Kanwar continues to remain unchanged, and he shall continue to discharge his responsibilities as Chairman and Managing Director of the Company.

Subsequent to the year ended 31 March, 2026, CMD had received a communication from the Regional Passport Office regarding the revocation of his passport, against which he filed an appeal with the competent authority. CMD has informed the Company that the said appeal has been disposed of without providing him any opportunity of representing his case. Accordingly, he is in the process of taking appropriate steps for filing a rectification/clarificatory/appropriate application viz. the said order.

8. The Board of Directors have recommended a dividend of ₹ 1/- per share on equity shares of ₹ 10/- each of the Company (10%) at their meeting held on 30 May, 2026, subject to the approval of shareholders at the ensuing Annual General Meeting.

9. During the quarter ended 30 June, 2026, the erstwhile Joint Managing Director (JMD) of the Company, has shared certain concerns regarding specific practices by the Chairman and Managing Director of the Company. These concerns pertain to the period when the JMD himself was in office. The Audit Committee of the Company in its meeting held on 15 June, 2026 has appointed an external agency to carry out an impact assessment for the alleged concerns raised, which is under progress.

For and on behalf of the Board of Directors

Place: Delhi
Date: 03 August, 2026

SURINDER PAUL KANWAR
Chairman & Managing Director
DIN: 00033524

Source: Quarterly Results Q1FY27

These are separate matters and should not be clubbed together as evidence of any single conclusion. But investors should be aware that alongside the operating recovery, Bharat Gears currently has an intra-promoter beneficial-ownership dispute, allegations regarding certain specific practices by the CMD, a UPSI-related issue, and the CMD's citizenship/passport matter playing out in parallel.

For now, the key point is not to prejudge their outcome, but to track how and when these issues are finally resolved. Governance resolution has become part of the investment case.

Dividend & Earnings

Bharat Gears' earnings have been volatile. Adjusted EPS moved from Rs. 16.83 in FY22 to Rs. 8.78 in FY23, a loss of Rs. 6.34 in FY24, Rs. 2.08 in FY25 and Rs. 10.75 in FY26. FY25 profit was supported by the Rs. 16.84 crore exceptional gain. FY26 was stronger operationally: PAT rose to Rs. 16.50 crore without a similar exceptional gain.

The company also resumed dividend after six years, declaring Rs. 1 per share in FY26. The payout ratio was only 9.3%, so most earnings continue to be retained in the business.

Bharat Gears Ltd - DPS & EPS

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22	FY2
Adjusted EPS (Rs)	10.75	2.08	-6.34	8.78	16.83	-5.3
Adj DPS (Rs)	1.00	-	-	-	-	
Dividend Pay Out Ratio (%)	9.30	-	-	-	-	

Why Look Beyond Profit?

Profit alone does not tell an investor whether a business is becoming financially stronger. The company also needs to convert that profit into cash, manage receivables and inventory, finance its plants sensibly, control debt, and also generate adequate returns from the money invested in the business.

Sales rose 21% to Rs. 784.17 crore in FY26 from Rs. 647.53 crore in FY25, exceeding the previous high of Rs. 766.37 crore in FY23. Profitability improved faster than sales. PAT increased to Rs. 16.50 crore from Rs. 3.19 crore.

Bharat Gears Ltd - Income Statement

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Sales	784.17	647.53	663.05	766.37	729.44
Total Income	790.50	650.05	666.67	775.12	732.97
Total Expenditure	731.91	622.24	639.51	720.38	663.68
Gross Profit	370.55	304.42	306.05	357.50	358.54
PAT	16.50	3.19	-9.74	13.48	25.84
Cash Profit	39.07	26.82	12.81	33.55	46.23

Total debt has fallen steadily from Rs. 161.50 crore in FY19 to Rs. 58.16 crore in FY26. It also declined from Rs. 61.34 crore in FY25. And net worth increased to Rs. 131.19 crore in FY26 from Rs. 112.89 crore in FY25, while reserves rose to Rs. 115.83 crore.

This is a positive change because the FY26 recovery has not required a fresh build-up in leverage.

Bharat Gears Ltd - Sources of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Equity Paid Up	15.36	15.36	15.36	15.36	10.24
Reserves and Surplus	115.83	97.53	95.24	105.20	97.96
Net Worth	131.19	112.89	110.60	120.56	108.19
Total Debt	58.16	61.34	93.44	103.02	100.83
Capital Employed	189.35	174.22	204.04	223.58	209.03

The asset side shows that Bharat Gears has continued investing in its manufacturing base over time. Gross block increased from Rs. 244.35 crore in FY22 to Rs. 273.99 crore in FY23, Rs. 292.62 crore in FY24, Rs. 310.97 crore in FY25, and Rs. 320.10 crore in FY26.

But the bigger FY26 balance-sheet movement came from current assets and liabilities. Net current assets increased to Rs. 49.31 crore from Rs. 37.61 crore. At the same time, total current liabilities increased sharply to Rs. 213.62 crore from Rs. 174.89 crore. Total assets rose to Rs. 394.57 crore from Rs. 354.06 crore.

Bharat Gears Ltd - Application of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Block	320.10	310.97	292.62	273.99	244.35
Investments	1.38	1.30	1.20	1.11	-
Cash and Bank balance	7.74	9.34	9.08	6.60	9.36
Net Current Assets	49.31	37.61	47.43	78.12	66.22
Total Current Liabilities	213.62	174.89	179.37	182.13	207.74
Total Assets	394.57	354.06	374.69	405.02	402.08

Operating cash flow declined to Rs. 29.45 crore in FY26 from Rs. 48.97 crore in FY25, even though PAT increased sharply. The positive is that the CFO of Rs. 29.45 crore still remained above PAT of Rs. 16.50

crore.

Bharat Gears Ltd - Cash flow from operations

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22	FY2
Cash Flow from Operations	29.45	48.97	46.60	41.96	30.28	59.(

The improvement in operating performance is also visible in return on capital employed, or RoCE, which measures how efficiently a company earns operating returns from the capital invested in the business.

Bharat Gears' RoCE fell from 26.63% in FY22 to 16.03% in FY23 and only 2.16% in FY24. It recovered to 11.11% in FY25 and rose further to 19.82% in FY26. This is a significant improvement because it occurred while capital employed itself increased.

The market-cap data also shows that the share price has not moved in a straight line with the business. Market capitalisation increased to Rs. 132.05 crore in FY26 from Rs. 100.78 crore in FY25, but it remained below the Rs. 155-158 crore levels recorded in FY23-FY24.

The adjusted P/E fell sharply to 8 times in FY26 from 31.61 times in FY25. That change should not be read simply as the stock becoming dramatically cheaper. A large part of the decline comes from the denominator. EPS increased from only Rs. 2.08 to Rs. 10.75. When earnings recover much faster than the share price, the P/E mathematically falls.

Bharat Gears Ltd - Key Data Points

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22
ROCE (%)	19.82	11.11	2.16	16.03	26.63
Market Capitalization (INR Cr)	132.05	100.78	155.47	158.16	147.10
Equity Dividend (%)	10.00	-	-	-	-
Dividend Yield (%)	1.16	-	-	-	-
Adjusted PE (x)	8.00	31.61	-	11.73	5.69

Bharat Gears Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
September 15, 2026	100.55	101.00	100.05	100.15
January 3, 2000	12.78	12.78	12.78	12.78

Verdict: Need to Resolve Issues

For a minority shareholder, the analytical order here is unusual. Normally the business comes first and governance is a discount factor applied afterwards. At Bharat Gears the sequence inverts. The operating question is largely answered. The unanswered questions revolve around the corporate governance issues.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

We also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

Stock Reports Plus, powered by Refinitiv, is a comprehensive research report that undertakes an in-depth quantitative analysis to generate standardised scores for each of the five key components. A simple average of these scores is then normally distributed to reach an average score. Each stock is ranked on a scale of 1 to 10. A score of 8 to 10 is considered positive, 4 to 7 is neutral, and 1 to 3 is considered a negative outlook.

In addition to these scores, the report also contains trend analysis, peer analysis and mean analysts' recommendations to help an investor make better & informed investment decisions.

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